

Designing a Jurisdiction-Aware RegTech Tool

——JurisFair BNPL Credit Monitor

Task 3 - One-Page Summary

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JurisFair BNPL Credit Monitor is a jurisdiction-aware compliance analytics tool for monitoring Klarna-style BNPL credit decisions in the US and the EU. It does not make credit decisions. It reads model outputs, calculates whether applicants with similar predicted default risk receive different approval outcomes across audit groups, and converts the same quantitative result into jurisdiction-specific compliance actions.

A memo or spreadsheet can calculate overall approval rates, but it cannot reliably connect model outputs, risk-adjusted fairness metrics, denial reasons, rule versions, data drift and governance actions. This tool solves that gap by making the regulatory interpretation of model outcomes configurable, auditable and repeatable.

In US mode, the tool focuses on fair lending monitoring, adverse-action explanation specificity and fair-access / unlawful debanking review. In EU mode, the same credit scoring environment is treated through high-risk AI governance, with stricter internal thresholds for bias monitoring, subgroup drift checks, traceability, documentation and human oversight.

Baseline result	US mode	EU mode
RAAD and status	US RAAD = 0.042; status = watch because RAAD is below 0.05 but AIR is below 0.80.	EU RAAD = 0.044; status = amber because the EU high-risk AI threshold is 0.03.

The tool does not determine whether the law has been violated, does not replace legal counsel, does not approve or deny consumers, and does not prove that a model is fair. Its purpose is to identify when senior compliance, legal and model risk teams need to intervene. With more time and real data, the next version would connect to production decision logs, validate reason mapping against actual notice templates, add SHAP-based explanation review and extend the jurisdiction engine to the UK and Singapore.